Halvorsen Pryce Valuers Pty Ltd
Property valuation and advisory

Independent Valuation
Elan West, Westmead

Market valuation of a stabilised build-to-rent residential building for mortgage security purposes

Prepared for Quillwood Credit Partners

Property: 41 Darcy Road, Westmead NSW 2145

Valuation date: 22 August 2025

Version 1.0, final for credit use

Reference: HPV-2025-0822-EW

Date: 22 August 2025

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Borrower	Elan West BTR Pty Ltd
ABN	46 975 038 650
Sponsor	Elan Living Group Pty Ltd (trading as Elan Living)
Property	Elan West, 41 Darcy Road, Westmead NSW 2145
Local government area	City of Parramatta
Prepared for	Quillwood Credit Partners
Prepared by	Halvorsen Pryce Valuers Pty Ltd
Date of valuation	22 August 2025
Version	1.0

Report details

1. Executive summary

Halvorsen Pryce Valuers Pty Ltd has been instructed by Quillwood Credit Partners to assess the market value of Elan West, a completed and stabilised build-to-rent residential building at 41 Darcy Road, Westmead NSW 2145. The valuation is required for mortgage security purposes in connection with a proposed senior secured, interest only stabilised investment facility of A$74.0M to Elan West BTR Pty Ltd (the Borrower).

The property comprises 188 apartments (24 studios, 78 one bedroom, 72 two bedroom and 14 three bedroom), approximately 15,400 sqm of gross floor area, 11,812 sqm of net lettable residential area, resident amenity space, ground floor retail and basement parking. It reached practical completion in August 2023 and has traded above 95% occupancy since the September 2024 quarter.

We assess the market value of the freehold interest, subject to the existing residential tenancies and retail leases, as at 22 August 2025 at A$117,500,000 (one hundred and seventeen million five hundred thousand dollars), exclusive of GST. This equates to about A$625,000 per apartment, A$9,950 per sqm of net lettable residential area and a capitalisation rate of 5.40% on stabilised net income of A$6.35M. Because the building is complete and stabilised, the as-is value and the as-stabilised value are the same.

Market value (as is and as stabilised)	A$117.5M
Capitalisation rate adopted	5.40%
Stabilised net income	A$6.35M
Value per apartment	A$625,000
Value per sqm NLA (residential)	A$9,950
Proposed facility limit	A$74.0M
Loan to value ratio (LVR)	63.0%
Total development cost (QS report)	A$101.5M

Valuation summary

On the proposed facility limit of A$74.0M the LVR is 63.0% and the debt yield is 8.6%. A 50 basis point softening in the capitalisation rate would reduce value by roughly A$10M and lift the LVR to about 69%. The principal valuation sensitivities are the capitalisation rate, the sustainability of average rents of about A$887 per week against forecast new supply, and the concentration of demand in the Westmead health and education precinct.

2. Instructions, scope and basis of valuation

2.1 Instructions

Instructions were received from Quillwood Credit Partners (the Lender). We have been asked to provide an independent opinion of market value suitable for the Lender's credit assessment and for the registration of a first mortgage. This report must not be relied upon by any other party without our written consent. We act independently of the Borrower, the sponsor and their advisers, and our fee is not contingent on the value reported or on the facility proceeding.

2.2 Basis of valuation

Market value is defined as the estimated amount for which an asset should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion. The valuation has been prepared in accordance with the Australian Property Institute professional practice standards and the International Valuation Standards.

2.3 Information relied upon

- Information memorandum dated 4 August 2025 prepared by the sponsor with input from Lindqvist Capital Advisory Pty Ltd.
- Quantity surveyor's report dated 15 August 2025 from Brannigan Tait Quantity Surveyors Pty Ltd, confirming total development cost of A$101.5M, including the site at A$38.5M.
- Rent roll, lease schedule and unaudited management accounts for the 12 months to 30 June 2025, supplied by Elan Living Operations Pty Ltd. Audited financial statements from Corwen Ashby Assurance were not available at the valuation date.
- Development consent, occupation certificate and management agreement summaries provided by Marlow & Finch Lawyers on behalf of the Borrower.
- Our inspection of the building, amenity areas and a sample of 22 apartments on 13 August 2025, and our own market research.

We have not verified the rent roll or management accounts beyond reasonable cross-checks against bank statements for the three months to 30 June 2025 and the lease schedule. We have not reviewed the title or any encumbrances, and have assumed that the Borrower holds good and marketable freehold title.

3. The property

3.1 Location

Elan West is in Westmead, about 3.5 kilometres west of the Parramatta CBD. The site lies within the Westmead health and education precinct, close to Westmead Hospital, the University of Sydney Westmead campus and the Parramatta Light Rail. Surrounding uses are a mix of hospital and research buildings, medium and higher density residential and local retail. Walkable access to a very large concentration of health, research and education employment is the main driver of tenant demand.

3.2 Site, title and planning

The Borrower settled the site at A$38.5M on 15 November 2019. The Sydney Central City Planning Panel granted development consent for a 188 apartment residential flat building with ground floor retail on 10 December 2020. Construction began on 6 April 2021 under a lump sum design and construct contract, and an occupation certificate issued with practical completion on 21 August 2023. We have assumed the building complies with its consent and conditions. The site is freehold and the registered proprietor is Elan West BTR Pty Ltd.

3.3 Improvements

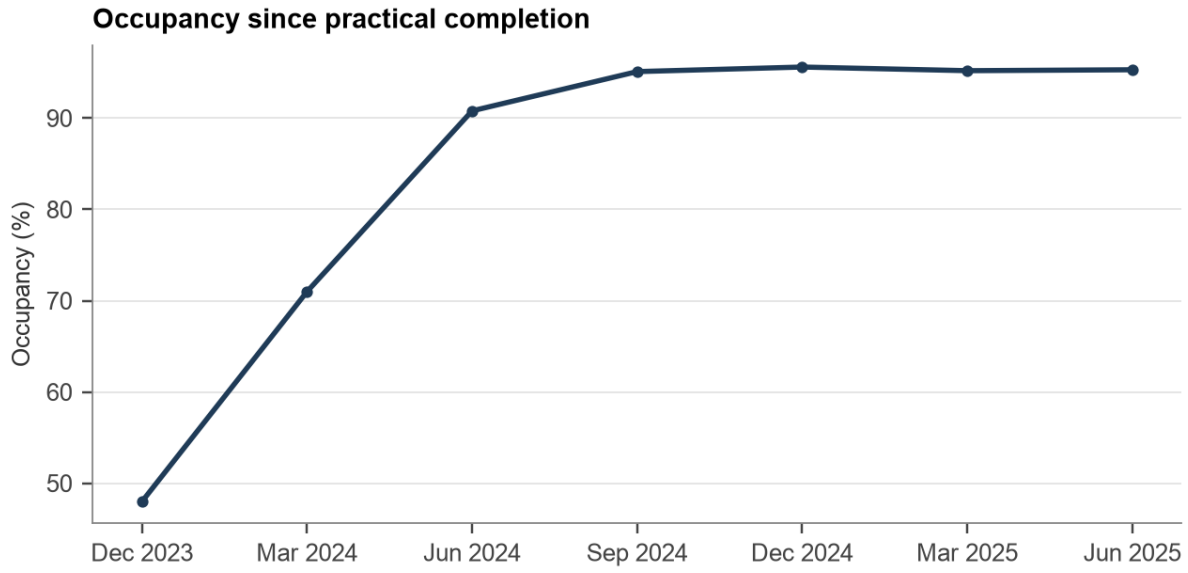
The building provides 188 apartments over a podium and tower form, with approximately 15,400 sqm of gross floor area and 11,812 sqm of net lettable residential area. Resident amenity includes a gym, co-working and lounge spaces, a rooftop terrace and a residents' dining room. A ground floor retail component provides convenience services to residents and the wider precinct. Basement parking serves residents and retail. At inspection, the building was in very good condition for its age, with common areas well presented and no visible signs of significant defects. The quantity surveyor has noted minor residual defects items that are being rectified by the builder within the defects liability period.

3.4 Accommodation and rent schedule

Type	Units	Mix %	Rent A$/wk	Gross rent A$'000
Studio	24	12.8	620	774
One bedroom	78	41.5	780	3,164
Two bedroom	72	38.3	1,010	3,781
Three bedroom	14	7.4	1,310	954
Total / average	**188**	**100.0**	**887**	**8,673**

Apartment mix and average passing rents at full occupancy

Gross rent assumes every apartment is let at the average passing rent for its type. Actual occupancy at the valuation date is 95.3%, or about 179 apartments let.



Quarter-end occupancy per sponsor reporting. Lease-up completed on 28 June 2024; occupancy has stayed above 95% since the September 2024 quarter.

4. Market overview

Build-to-rent in Sydney remains an emerging institutional asset class, supported by stable long-term income, professional management and, in NSW, concessional land tax treatment for qualifying developments. Investor demand has been strongest for completed, stabilised assets in locations with deep employment bases, and the sales evidence we have adopted reflects that.

Parramatta and Westmead benefit from continued public and private investment in health, research and education, which supports a large and growing pool of staff, students and visiting clinicians who prefer short commutes. Rental vacancy in the surrounding suburbs has remained tight over the past two years, and the light rail has improved connectivity to the CBD and the eastern suburbs.

New supply is the main near-term market risk. Several build-to-rent and build-to-sell projects are expected to complete in Parramatta and Westmead over 2025 to 2027. Elan West's location within the precinct, its amenity and its established resident base provide some protection, but new competing buildings may use incentives in the early stages of lease-up. We have assumed rent growth below long-term wage growth in the first two years of our cash flow to reflect this.

5. Income and operating analysis

5.1 Stabilised income

Management accounts show revenue of A$8.7M and operating expenses of A$2.35M for the 12 months to 30 June 2025, giving EBITDA of A$6.35M and an operating margin of 73%. We have tested this against the rent roll. Gross potential rent at passing rents is A$8.67M. At 95.3% occupancy, rent from occupied apartments is about A$8.26M, with retail rent, parking and other resident income of about A$0.44M making up the balance.

Item	A$M	Comment
Gross potential rent	8.67	188 apartments at passing rents
Less vacancy and incentives	(0.41)	4.7% of gross rent
Rent from occupied apartments	8.26	95.3% occupancy
Retail, parking and other	0.44	Third party leases and fees
Total revenue	8.70	Agrees to management accounts
Operating expenses	(2.35)	27.0% of revenue
Net operating income (EBITDA)	**6.35**	**Capitalised at 5.40%**

Stabilised income summary, A$M

5.2 Operating expenses

Expense	A$M	% of revenue
Management fee and on-site staff	0.78	9.0
Council rates, water and land tax	0.62	7.1
Insurance	0.19	2.2
Repairs and maintenance	0.31	3.6
Utilities and common areas	0.20	2.3
Marketing, leasing and technology	0.13	1.5
Other	0.12	1.4
Total operating expenses	**2.35**	**27.0**

Operating expense breakdown, 12 months to 30 June 2025

The operating expense ratio of 27.0% sits within the range we would expect for a building of this size and amenity level (about 25% to 32%). We consider the management fee payable to Elan Living Operations Pty Ltd to be in line with market for a related party arrangement. The expenses shown do not include a separate allowance for capital replacement. We have dealt with long-term capital expenditure through the capitalisation rate and the cash flow cross-check in section 6.4.

5.3 Rent assessment

Average passing rent of A$887 per week is consistent with the rents we observed at inspection and with our market evidence for new apartments in the precinct. We have not identified any material over-renting. Retention was reported by the operator to be solid, and lease expiries are spread across the year. We consider the current income to be sustainable on the assumption that the operator continues to manage leasing and resident retention at present standards.

6. Valuation assessment

6.1 Approach

We have adopted the capitalisation of net income as the primary method, given that the building is complete, stabilised and likely to be traded on a yield basis. We have cross-checked the result against comparable sales on a rate per apartment, a ten year discounted cash flow, and a cost approach based on the QS report.

6.2 Capitalisation of income

The stabilised net income of A$6.35M has been capitalised at 5.40%, which gives A$117.6M and is adopted at A$117.5M after rounding. In selecting the rate, we have placed weight on sales of institutional-grade build-to-rent assets in Sydney, adjusted for location, age, scale and amenity. The Westmead precinct location, the quality of the asset and its proven stabilised trading support a rate within the middle of the evidence range. We have not applied a premium for the Parramatta Light Rail, which is already reflected in precinct sales.

6.3 Direct comparison

Property	Sale date	Units	Price A$M	A$k / unit	Cap rate %
Harbord Rise, Sydney Olympic Park	Mar 2025	220	143.0	650	5.25
Tallis House, Homebush	Dec 2024	142	91.5	644	5.30
The Calder, Macquarie Park	Oct 2024	164	99.2	605	5.50
Wexford Place, Penrith	Jun 2025	210	114.7	546	5.75
Elan West (adopted)	Aug 2025	188	117.5	625	5.40

Comparable build-to-rent sales evidence

The sales range from A$546,000 to A$650,000 per apartment and from 5.25% to 5.75%. Harbord Rise and Tallis House have the strongest locational and employment links and sit at the top of the range, and Wexford Place is a weaker western Sydney location. Elan West's A$625,000 per apartment is slightly below the two closest comparables, reflecting its smaller unit sizes, a higher share of studios and one bedrooms, and a more modest scale than Harbord Rise. We consider the adopted rate to be well supported.

6.4 Discounted cash flow

A ten year cash flow, with rent growth of 2.0% in year one, 2.5% in year two and 3.0% thereafter, operating expenses growing at 3.0%, a stabilised vacancy allowance of 4.5%, a capital reserve of 0.5% of revenue and a sale cost of 1.5%, was discounted at 6.75% with a terminal capitalisation rate of 5.65%. This produces a value of A$116.4M, which is 0.9% below the adopted value.

6.5 Cost approach

The QS report confirms total development cost of A$101.5M, made up of land at A$38.5M and construction, professional fees, finance and other costs of A$63.0M. Applying a developer's profit and risk margin of 15% on cost indicates A$116.7M. The adopted value is A$16.0M, or 15.8%, above total development cost, which is consistent with the margin we would expect for a completed and stabilised asset.

6.6 Reconciliation

Method	Value A$M	Weight
Capitalisation of income	117.5	Primary
Direct comparison (A$625k / unit)	117.5	Supporting
Discounted cash flow	116.4	Cross-check
Cost approach (15% margin)	116.7	Cross-check
Adopted market value	**117.5**	

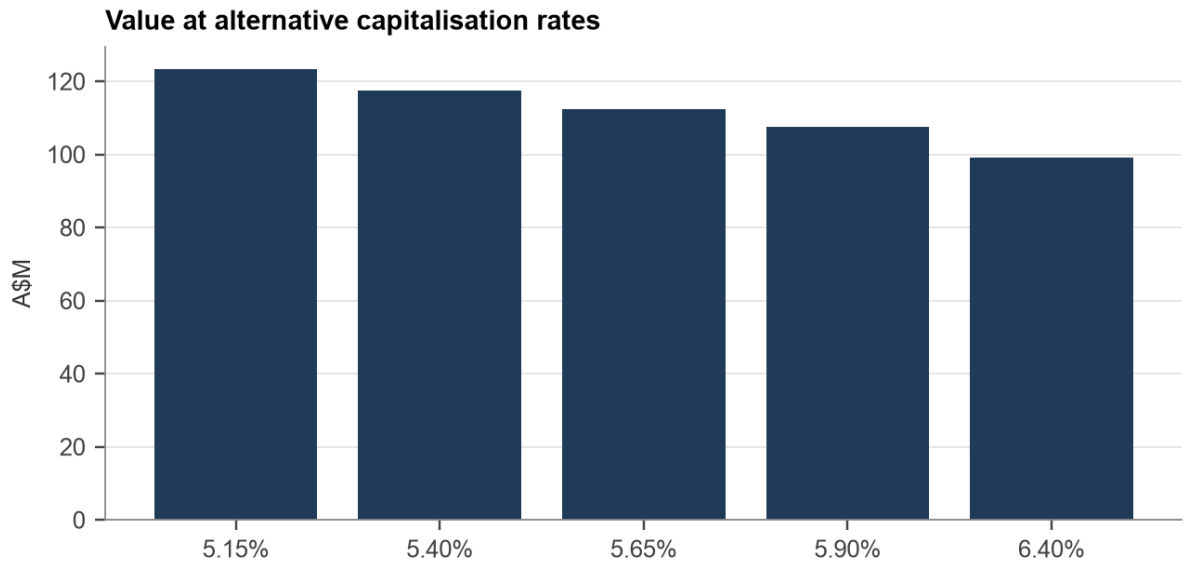
Reconciliation of valuation methods

7. Sensitivity analysis

The table below shows the effect of changes in the capitalisation rate on value and on the LVR at the proposed facility limit of A$74.0M, holding net income at A$6.35M.

Cap rate %	Value A$M	Change A$M	LVR %
5.15	123.3	5.8	60.0
5.40 (adopted)	117.5	0.0	63.0
5.65	112.4	(5.1)	65.8
5.90	107.6	(9.9)	68.8
6.40	99.2	(18.3)	74.6

Value and LVR sensitivity to the capitalisation rate



The facility limit of A$74.0M would be covered 1.34 times by value even at a 6.40% capitalisation rate.

Income sensitivity is also relevant. A 5% fall in net income, equal to about A$0.32M, would reduce value by about A$5.9M at 5.40%. Combining a 50 basis point softening in the capitalisation rate with a 5% fall in income would give a value of about A$102M and an LVR of about 72.5%.

8. Security assessment

8.1 Implied lending metrics

The metrics below are calculated on the proposed A$74.0M limit, which refinances the existing bank construction-to-term facility of A$72.4M and funds A$1.6M of establishment fees, transaction costs and hedging set-up. We have assumed an all-in rate of about 6.45% per annum, being 3 month BBSW of 3.60% plus a 2.85% margin. These terms are indicative and subject to the Lender's credit approval.

Metric	Value
Facility limit	A$74.0M
Market value	A$117.5M
LVR	63.0%
Cash at bank	A$2.1M
Net debt	A$71.9M
Net debt / EBITDA	11.3x
Interest cover (EBITDA / interest)	1.33x
Debt yield (EBITDA / facility)	8.6%

Implied lending metrics on the adopted value

Interest cover of 1.33x is calculated on annual interest of about A$4.77M. Break-even interest cover would occur at an all-in rate of about 8.6%, equal to the debt yield. If 3 month BBSW rose by 100 basis points and only the minimum 75% of drawn debt were hedged, annual interest would rise by about A$0.19M and interest cover would fall to about 1.28x. These are credit matters for the Lender, but they bear on the capacity of the asset to service debt without sponsor support.

8.2 Marketability and suitability as security

The property is modern, fully completed and let to a diverse resident base, with a clear income profile. It is a single title asset, and we expect a sale to a domestic or offshore institutional buyer, or a fund, to be achievable within a normal marketing period of four to six months. Marketing time could extend to nine months or more if capital markets are disrupted. Because the buyer pool for single-asset build-to-rent buildings is narrower than for conventional residential or commercial assets, the property could take longer to sell in a stressed market. A mortgagee in possession would likely be able to sell the building with the operator in place, or arrange a transfer of management. A sale of individual apartments is not possible, as the building is held as one lot and the consent does not provide for strata subdivision. A break-up would require a new approval and would reduce certainty of timing.

We consider the property to be suitable security for a first registered mortgage, subject to the matters in section 9 and section 10.

9. Valuation risks

- Capitalisation rate and exit risk: the value rests on a 5.40% capitalisation rate. A 50 basis point softening would reduce value by roughly A$10M and lift the LVR to about 69%. Transaction volume in the asset class remains limited, and the evidence includes relatively few sales.
- Rental and occupancy risk: income depends on achieving average rents of about A$887 per week as new build-to-rent supply reaches Parramatta and Westmead over 2025 to 2027. Increased supply could require incentives or slower rent growth.
- Interest rate and refinance risk: net debt of A$71.9M is about 11.3x EBITDA and interest cover of 1.33x leaves limited headroom to a rise in base rates beyond the hedged portion.
- Precinct and concentration risk: tenant demand is closely tied to healthcare and university employment in the Westmead precinct, and the asset is a single building in a single location.

- Operator and sponsor risk: leasing, cost control and resident retention rely on Elan Living Operations Pty Ltd. A change in operator performance or terms, or financial stress at the sponsor, could affect net income and value.
- Defects and compliance risk: residual defects liability and statutory warranty matters remain under the NSW building reforms until the end of the defects period. We have relied on the QS report and have not tested the building fabric.

10. Assumptions, qualifications and conditions

- This valuation is current at 22 August 2025. Property markets can change quickly, and the value may not hold if market conditions, interest rates or the building's condition change materially. We recommend a valuation update at least annually, or sooner if there is a material change in market conditions or in the property's performance.
- The rent roll, management accounts and QS report are accurate. If they are not, our opinion may need to be revised.
- No environmental or contamination issues affect the site. We have not carried out environmental, structural or services testing, or a review of the cladding, fire safety or waterproofing systems.
- The building holds all required approvals, and the management agreement with Elan Living Operations Pty Ltd is on arm's length terms and can be terminated or replaced on enforcement.
- Retail leases and any easements, covenants or agreements affecting the title will not materially limit use or saleability. A title search should be completed by the Lender's solicitors.
- The valuation is exclusive of GST, stamp duty, selling costs and any tax benefits specific to the Borrower or its sponsor.
- This report is for the use of Quillwood Credit Partners and its professional advisers only. We accept no liability to any other party.

11. Certification

We certify that we have no present or prospective interest in the property or the Borrower and that no part of our fee depends on the outcome of this valuation. The valuer has inspected the property and has the experience and qualifications to value assets of this type in this location. The opinion in this report is our own professional judgement.

Valued by	Halvorsen Pryce Valuers Pty Ltd
Signatory	Marcus Dunleavy, Director, Certified Practising Valuer (API)
Reviewed by	Annika Sorensen, Senior Director, Certified Practising Valuer (API)
Inspection date	13 August 2025
Valuation date	22 August 2025
Report date	22 August 2025
Market value	A$117,500,000 (exclusive of GST)

Valuer sign-off